



Vancouver School of Economics Undergraduate Society

VSEUS Weekly Economics Gazette Newsletter

Prepared by: Sebastian, Research Analyst

Date: October 17, Friday

Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Market Overview:

This week, major U.S. banks delivered strong earnings, reflecting resilient consumer activity and upward momentum in investment banking. Those results helped lift markets midweek, as investors viewed them as signs of underlying economic strength. However, gains faded on Thursday amid renewed concerns whether this momentum can be sustained. Uncertainty was further amplified because key government economic data releases have been delayed during the ongoing federal shutdown, making it harder for markets to predict the near-term direction.



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Article 1: Canada Will Review Trump Minerals Deals Carefully, Minister Says

Author, Source & Date Published: Mathieu Dion & Monique Mulima, October 17, 2025

Link: [Bloomberg Article](#) & [US Department of Energy](#)

Summary:

Industry Minister, Melanie Joly, announced that Canada will review U.S. investments on critical mineral companies based in Vancouver.

Key Takeaways:

- Canada wants to protect its national interest by making sure critical mineral companies stay on Canadian control. This month, the U.S. government announced a 10% stake in Trilogy Metals Inc., which increased its stock price by **(+250%)** as of October 16, 2025. Trilogy metals (TSE: TMQ) main extraction site is located in Northwest Alaska. It is part of a \$1 billion American program focused on expanding critical minerals available for the American government and companies.



Source: Yahoo Finance, as of October 16, 2025.

- The Trump administration is seeking to use government intervention to protect their national security, as these minerals are essential for military purposes and to fuel AI technology.
- It is unclear how much power Ottawa has to control the American overtake on these companies. If companies feel that being based in Canada is undermining their capital access, they might just reallocate their headquarters to the USA.



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Educational Angle:

Students could understand what are the drivers for the price of metals like Gold, Platinum, Copper and Lithium:

- **Economic Growth:** Demand for metals increases thanks to expansion in construction, manufacturing activity and technology development. In this specific context, it largely depends on massive capital investments fuelling the AI revolution. This can take form in the shape of new data centers in North America.
- **Production Constraints:** Demand is limited by the labor, existing capital, discovery and development of new mining sites, and logistical maneuvers.
- **Political Uncertainty:** Commercial uncertainty like tariffs or pressing government excessive regulation can affect the supply and demand for metals.
- **Inflation:** It can affect the demand for metals, as people look to store value in strategic metals like gold (as we have seen in the last months).

“What is the economic importance of pricing commodities such as metals?”

Trading commodity futures¹ requires the ability to estimate the future price of a commodity. This is very important because it provides price security both for producers and for their customers. Commodity futures bring stability to the production system.

For example, imagine you are a farmer planning to cultivate a certain quantity of crops. Farming is a capital-intensive activity with high upfront costs, so you want to lock in a price to secure a profit margin. This can be done through futures contracts, which are, in strict terms, agreements to deliver a specific amount of a commodity at a predetermined price on a specific date.

Finally, it is important to note that by agreeing to a fixed return, the farmer also gives up the opportunity to earn a higher profit if a shortage or price spike were to occur.

¹ Commodity Future: Is a contract to buy or sell a commodity at a fixed price on a future date.



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Article 2: Canada Threatens to Sue Stellantis Over US Jeep Work Move

Author, Source & Date Published: Derek Decloet, Thomas Seal, and Gabrielle Coppola
October 15, 2025.

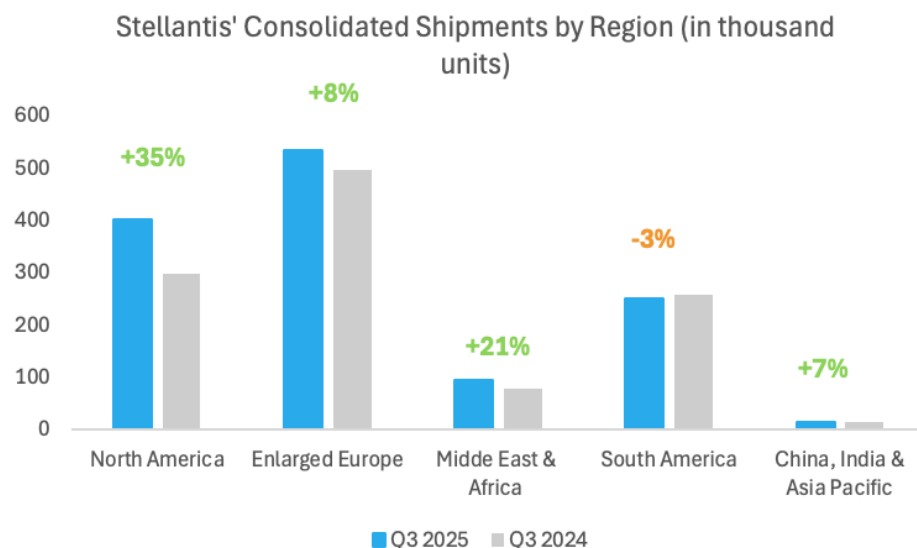
Link: [Bloomberg Article](#) & [Stellantis](#)

Summary:

Stellantis announces it will move its new factory from Ontario to Illinois.

Key Takeaways:

- Canada's Industry Minister, Mélanie Joly, expressed strong disapproval of Stellantis' decision to relocate its new production facility from Brampton, Ontario. The Government of Canada considers this move unacceptable, as Stellantis has benefited from billions in support through the federal Strategic Innovation Fund, which was designed to help accelerate the energy transition in the automotive sector.
- This change in the company's business plan is expected to cost the Canadian economy approximately 3,000 jobs, at a time when the unemployment rate exceeds 7%. The broader economy is already under strain, facing weak investment, a cooling labor market, and growing competitive pressures from its largest trading partner, the United States.



Stellantis Press Release, *Q3 2025 Consolidated Shipments Report*, October 17, 2025.



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Educational Angle:

Students need to understand basic equity information. Let's examine the following financial indicators for Stellantis:



Source: Yahoo Finance, as of October 16, 2025.

- **P/E (Price-to-Earnings Ratio):** Compares the stock's price to its earnings per share. This is important because it shows how expensive the stock is relative to its profits. A P/E of 2 means that you are paying two dollars for each dollar of earnings. This could be perfectly rational if we discount future expected earnings.
- **Market Cap:** The total market value of a company's outstanding shares. It literally means stock price multiplied by total outstanding shares. This is important because it shows how large the company is.
- **Yield:** The dividend return as a percentage of the stock price; it shows how much income investors earn from dividends annually.
- **Beta:** Measures the stock's volatility compared to the overall market; a value above 1 means the stock is more volatile than the average market.
- **EPS (Earnings Per Share):** The company's net income divided by its total shares. It shows profitability per share and is considered a cornerstone of conservative investing.